



In addition to the family, there are other stakeholders, all of whose interests need to be borne in mind

disclosure requirements) regulations require shareholders' agreements to be disclosed, and indeed, disclosure of family settlements as well. Also, there could be a change of control requiring an open offer in some cases, NCLT approval in cases of mergers and demergers, CCI ap-

proval in some cases and sectoral regulations need to be considered as well.

• Fiscal Issues

Institutionalising a framework would usually not have tax issues, but family settlements need to think about tax consideration.

A family settlement, inherently, is a realignment of rights within the family, and there should not be any tax issues, but obviously documentation needs to be drawn up to reflect this. However, it is important to note that as per certain judicial precedents, companies cannot claim an exemption for the transfer of assets. One of the other dimensions of fiscal cost is stamp duty, which needs to be borne in mind in case of a family settlement.

SUMMING UP

To sum up, experience has shown that evolving a structured relationship, including ownership framework and institutionalising governance are usually helpful in mitigating the impact of possible disputes.

Often, with time, families need to separate, but it can be done with grace and dignity, and not acrimoniously. In any case, family splits are often long winded and involve multiple steps and entities, and it is usual to capture them in a master Family Settlement Agreement or a document serving as the mother document, from which many actions flow. For example, transfer of shares can be at nil prices and retirement from partnership firms could be at book value and an overall settlement is often reached with net amounts.

It is important for family businesses to ask themselves a key question—do we have a structured framework to run this and, indeed, if the time comes to split it, is the framework conducive to move it forward? **BT**

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